

China Daily Brief

Saturday, September 19, 2026

2,727 words · 11 min read

RE: RE: Xi's DC visit firms up · Trump signs Russia sanctions bill · PH-China SCS collision · Taiwan arms sale delay weighed

USD/CNY
6.6974
▼ -0.16%

SSE COMPOSITE
3,911.87
▲ +0.68%

HANG SENG
24,750.78
▼ -0.22%

BRENT
\$99.29
▼ -6.05%

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• TODAY AT A GLANCE

- 1 Trump signed the Lindsey O. Graham Sanctioning Russia and Iran Act Friday, authorizing tariffs up to 100 percent on the top buyers of Russian energy, chiefly China and India, days before Xi's Sept 24 Washington arrival.
- 2 A Philippine government vessel and a Chinese coast guard ship collided near Sandy Cay in the Spratlys on Sept 18, with Manila and Beijing blaming each other and MOFA demanding Manila 'stop its rights-infringing provocations.'
- 3 Washington is weighing delaying major Taiwan arms sales announcements until after November's APEC summit in Shenzhen, sources told the South China Morning Post, a possible extension through year-end.

DIPLOMACY

Trump, Melania to host Xi and Peng across two-day Washington visit

Donald Trump and Melania Trump will host **Xi Jinping** and Peng Liyuan across two days in Washington beginning Sept 24, senior US officials said Friday, with an itinerary built around a White House welcome, a state dinner at which both presidents speak, a private tea and a tour of the founding documents. Trump plans to personally greet Xi at the airport on arrival, officials told Reuters and AP.

SOUTH CHINA MORNING POST, WITH REUTERS, AP

SANCTIONS

Trump signs Russia/Iran sanctions bill targeting China, India energy buyers

Trump signed the Lindsey O. Graham Sanctioning Russia and Iran Act of 2026 into law Friday, days before Xi's Washington visit, the White House said. The law authorizes tariffs of up to *100 percent* on the top five importers of Russian oil and gas, chiefly China and India, with exemptions possible, and permits sanctions on countries that help Russia evade energy sanctions. The Senate passed the bill 86-11 and the House 262-159, per DW Chinese.

SOUTH CHINA MORNING POST, WITH DW CHINESE, NIKKEI ASIA

INDO-PACIFIC

Philippines, China trade blame after coast guard collision near Sandy Cay

A Philippine government vessel and a Chinese coast guard ship collided near Sandy Cay (Xianbin Jiao) in the Spratlys on Sept 18, with Manila and Beijing offering conflicting accounts. MOFA spokesperson Guo Jiakun said the Philippine vessel 'deliberately rammed' the Chinese ship and demanded Manila 'immediately stop its rights-infringing provocations at sea.'

JAPAN TIMES, WITH CHINA DAILY (MOFA)

CROSS-STRAIT

US weighs delaying Taiwan arms sales until after APEC, G20

The US is considering postponing announcement of major Taiwan arms sales until after November's APEC summit in Shenzhen, multiple sources told the *South China Morning Post*, with Trump possibly extending the delay through year-end around a planned bilateral meeting. Defense firm **Anduril** said separately the delay is already affecting its business.

SOUTH CHINA MORNING POST

PRC-ECONOMY

China opens antitrust probes into Meituan, Alibaba's Fliggy units

China's market regulator opened investigations into units of **Meituan** and Alibaba for suspected unfair-competition violations, Reuters reported Sept 19. Alibaba's Fliggy (Feizhu) travel unit confirmed it is 'highly concerned' and will 'fully cooperate' with the Beijing Municipal Market Supervision Administration's inquiry.

REUTERS, WITH YICAI

DIPLOMACY

Xi's skipped dinner fuels health speculation ahead of Washington trip

Xi Jinping skipped a dinner during recent multilateral travel, prompting a wave of health speculation ahead of his Sept 24 Washington visit, the *Wall Street Journal* reported. Radio Free Asia framed the trip as 'a test of his power among China's elite,' while other outlets reported unverified rumors he was 'taken ill' on a trip to India and returned early from BRICS-related events. Xi's last confirmed public appearance in the tracker remains his Aug 31-Sept 3 Egypt state visit, *14 days* as of Sept 19.

WALL STREET JOURNAL, WITH RADIO FREE ASIA, THE INDEPENDENT

PRC-ECONOMY Argentina gets short-lived opening to sell more beef to China · Reuters

Argentine exporters gained a brief window to boost beef sales to China as rival suppliers pulled back, Reuters reported. The opening is described as temporary rather than a structural shift in China's import mix.

TECHNOLOGY US 'distillation' claim on China's AI progress questioned · CNBC

The US administration and Anthropic have accused Chinese AI firms of building models via 'distillation' of US systems. CNBC reports a growing cohort of voices question whether that explanation is clear-cut.

TECHNOLOGY Chinese state TV affiliate flags Anthropic data, privacy risks · Bloomberg

A China Central Television affiliate raised data and privacy concerns about Anthropic, Bloomberg reported. The counter-narrative surfaces as Washington presses Beijing on AI model distillation ahead of the Xi visit.

INDO-PACIFIC Chinese vessel suspected of marine research leaves Japan's EEZ · Kyodo

A Chinese vessel suspected of conducting marine research inside Japan's exclusive economic zone has departed, Kyodo reported. No further detail on the vessel's identity or duration inside the EEZ was given.

DIPLOMACY US lawmakers hold hearing on jailed Jimmy Lai; Hong Kong slams 'hypocrisy' · Hong Kong Free Press

US lawmakers held a hearing on the plight of jailed media tycoon **Jimmy Lai** ahead of the Trump-Xi summit. Hong Kong's government accused Washington of 'colluding with anti-China and destabilising elements.'

TECHNOLOGY Ex-Asahi Kasei manager arrested for leaking chip-adhesive secrets to Chinese firm · Lianhe Zaobao

Japanese police arrested a former Asahi Kasei manufacturing manager on suspicion of leaking trade secrets on a semiconductor-manufacturing adhesive to a Chinese company. Asahi Kasei said it is tightening access controls for departing staff.

TECHNOLOGY Taiwan builds rare-earth recycling to bypass 'red supply chain' · Taipei Times

Taiwan's Economic Affairs Ministry is funding a pilot rare-earth refining line within three years, targeting half of a projected 2,000-tonne annual need by 2030. Researchers at National Cheng Kung University have demonstrated dysprosium extraction from discarded EV motor magnets.

CROSS-STRAIT Taiwan's allies renew call for UN participation, cite mounting Strait pressure · VOA Chinese

Taiwan's diplomatic allies renewed calls for Taipei's participation in the UN system, warning that pressure in the Taiwan Strait is accumulating. The statement urges avoiding escalation into a 'wider conflict.'

MILITARY · REUTERS

Anduril says US delay on Taiwan arms sales hurting its business

Defense firm **Anduril** told Reuters that Washington's delay in approving Taiwan arms sales is already affecting its business. The comments follow reports the US is weighing pushing major Taiwan sale announcements past November's APEC summit.

DIPLOMACY · REUTERS

Bessent to meet He Lifeng in New York on AI, rare earths, trade

Treasury Secretary **Scott Bessent** plans to meet Vice Premier **He Lifeng** this weekend to discuss AI, rare earths and the economy, a source told Reuters. USTR Jamieson Greer will join the talks Sunday, per Bloomberg, ahead of the Sept 24 summit.

TARIFF · REUTERS

US, China discuss cutting tariffs on US LNG ahead of Xi visit

Washington and Beijing are discussing reductions in tariffs on US liquefied natural gas, Reuters reported, as part of the pre-summit negotiating agenda. No specific rate or timeline was disclosed.

INVESTMENT · REUTERS

Auto industry urges Trump to keep Chinese automakers out of US market

Leaders of six major US auto trade groups signed a letter urging Trump to bar Chinese automakers from the US market ahead of the Xi meeting. The request comes as Chinese EV and battery makers expand overseas.

CONGRESS · REUTERS

Select Committee chair urges Trump to take tough line with Xi

The Republican chair of the House Select Committee on the CCP urged Trump to hold a firm negotiating posture toward Xi ahead of the Sept 24 visit, Reuters reported.

INVESTMENT · REUTERS

US weighs allowing most pharma licensing deals with China

The US is considering a policy that would allow most pharmaceutical licensing deals with Chinese firms to proceed, sources told Reuters. The review comes as US drugmakers increasingly license compounds from Chinese biotech companies.

DIPLOMACY · CNBC

JPMorgan's Dimon, Citigroup's Fraser to attend Trump's state dinner for Xi

Jamie Dimon and **Jane Fraser** are among executives expected at Trump's state dinner for Xi, joining OpenAI's Sam Altman and Nvidia's Jensen Huang, sources told CNBC. The dinner is part of a two-day state visit beginning Sept 24.

LEGAL · REUTERS

Major US airlines oppose Air China bid for more US flights

Major US carriers filed opposition to Air China's request to schedule additional flights to the United States, Reuters reported. The dispute sits within the broader US-China aviation rights negotiation.

CROSS-STRAIT · AP

Taiwan holds first joint drills using attack drones ahead of Trump-Xi summit

Taiwan conducted its first joint military exercise incorporating attack drones ahead of the Trump-Xi summit, AP reported. The drill involved multiple service branches testing drone-enabled strike coordination.

CROSS-STRAIT · VOA CHINESE

Lai Ching-te oversees tri-service precision missile drills in Pingtung

President **Lai Ching-te** visited a missile base in Pingtung on Sept 18 to observe a three-day joint precision missile exercise involving Taiwan's navy, army and air force. Lai said the drill demonstrated Taiwan's capacity to defend its sovereignty and regional stability.

CROSS-STRAIT · CHINA TIMES

MAC clarifies foreign minister's 'US-Taiwan co-management of China' remark

Mainland Affairs Council Deputy Minister **Shen You-chung** said Foreign Minister Lin Chia-lung's phrase 'US-Taiwan co-management of China' referred to 'risk co-management' aimed at preventing Beijing from using force to change the status quo. Shen said Washington still prioritizes first-island-chain deterrence.

CROSS-STRAIT · HK01

Taiwanese scholar convicted of espionage in China barred from leaving after serving term

A Taiwanese scholar, Tsai Chin-shu, convicted of espionage on the mainland and released after four years, has surfaced with a Facebook post saying he is now barred from leaving China. The case drew attention as a rare public account of a post-sentence exit restriction.

KOREA · NEW YORK TIMES

Trump may need China's help to reignite North Korea outreach

Trump has gotten no reciprocal outreach yet from Kim Jong-un, the NYT reports, and could turn to Xi to help arrange a summit when Xi visits Washington next week. The dynamic ties North Korea diplomacy to the broader Trump-Xi agenda.

JAPAN · NIKKEI ASIA

Takaichi seeks Trump meeting in New York before US-China summit

Japan is trying to arrange a meeting between PM **Sanae Takaichi** and Trump in New York around Sept 22, Nikkei reported, ahead of the Trump-Xi summit. Tokyo wants to coordinate its China posture before the Washington visit.

JAPAN · TAIWAN NEWS

Japanese lawmaker to bring 50 colleagues to Taiwan's Double Ten

A Japanese lawmaker plans to lead roughly 50 colleagues to Taipei for Taiwan's Double Ten National Day on Oct 10. The delegation would be among the largest Japanese legislative visits to Taiwan in recent years.

MULTILATERAL · HAARETZ

Russia, China block renewal of UN panel overseeing Iran sanctions

Russia and China blocked renewal of a UN panel that monitors compliance with Iran sanctions, Haaretz reported. The move follows the two countries' pattern of shielding Tehran from multilateral sanctions enforcement mechanisms.

91%

China's share of global refined rare-earth-magnet production, 2024

The IEA figure, cited in a Taipei Times report on Taiwan's rare-earth push, also shows China accounted for 94 percent of sintered permanent-magnet output; Taiwan's Economic Affairs Ministry has set a 2030 goal of domestically producing half of a projected 2,000-tonne annual rare-earth need.

Taipei Times

• ECONOMY & BUSINESS

AUTO / VOLKSWAGEN, PORSCHE · FT

VW warns of up to €10bn hit from Porsche writedown, China slump

Volkswagen shares fell as much as 7 percent after it cut its 2026 operating margin outlook to 1 percent from a prior 4-5.5 percent range, citing Porsche writedowns and continued weakness in China.

MANUFACTURING / CHINA RARE EARTH GROUP, MP MATERIALS, SHENGHE RESOURCES · REUTERS

China Rare Earth Group in talks to buy MP Materials shareholder Shenghe

China Rare Earth Group is in talks to acquire Shenghe Resources, a shareholder in US rare-earth producer MP Materials, sources told Reuters.

TECH / ROBOTECHNIK · REUTERS

RoboTechnik to launch \$800M Hong Kong listing Sept 21

Chinese robotics firm RoboTechnik will launch an \$800 million Hong Kong IPO on Sept 21, sources told Reuters.

TECH / MANUS · WSJ

AI startup Manus seeks \$500M, weighs Hong Kong IPO

Manus is seeking to raise \$500 million and is weighing a Hong Kong listing, the Wall Street Journal reported.

MACRO · BLOOMBERG

China's fiscal pullback stretches into August

Government spending continued to slump in August, Bloomberg reported, extending a fiscal pullback trend into a second consecutive month.

AUTO / BYD · REUTERS

BYD recalls over 180,000 cars over brake pedal risk

BYD is recalling more than 180,000 vehicles over a brake pedal defect risk, Reuters reported.

ENERGY · AP

Xi's oil stockpiling cushions prices amid Iran war disruption

AP reports Trump has China's stockpiling strategy to thank for oil prices being lower than they otherwise would be amid Iran war disruptions.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · SATURDAY, SEPTEMBER 19, 2026

国务院 · STATE COUNCIL · *Li Qiang, Premier*

Chairs State Council executive meeting on eldercare policy

The meeting heard a report on work related to China's aging population among other agenda items, per state media.

→ [State Council ZH](#) ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *PBOC*

Restarts large-scale reverse repo operation

The PBOC injected *463.3 billion yuan* via 7-day reverse repos, its first large operation in several days, per Sina Finance citing Dongfang Jincheng analyst Wang Qing.

→ [PBOC ZH](#) ↗

外交部 · MOFA · PHILIPPINE VESSEL COLLISION NEAR SANDY CAY

FIRM · TO PHILIPPINES

Guo Jiakun ¹ · MOFA spokesperson

“The Philippines should immediately stop its rights-infringing provocations at sea and stop spreading false narratives and distorting right and wrong. China will continue to firmly defend its territorial sovereignty and maritime rights and interests, and firmly safeguard peace and stability in the South China Sea.”

菲律宾应该立即停止在海上的侵权挑衅，停止散播虚假叙事、颠倒黑白。中方将继续坚定捍卫自身领土主权和海洋权益，坚定维护南海和平稳定。

A Philippine government vessel allegedly rammed a Chinese coast guard ship near Sandy Cay (Xianbin Jiao) in the Spratlys on Sept 18.

China Daily (MOFA presser)

人民日报 · PEOPLE'S DAILY · JAPAN'S HISTORICAL 'DENIALISM' AND DEFENSE POSTURE

FIRM · TO JAPAN

Zhong Sheng (钟声) ¹ · People's Daily international commentary byline

“Per People's Daily commentary '病根不除，日本没有未来' (If the Root Cause Is Not Removed, Japan Has No Future): Japan's problem is not confined to military expansion, it is a distortion of its own history, even as its defense white paper labels China an 'unprecedented' strategic challenge.”

文章指出，日本不仅在军事上有所动作，更深层次的问题在于其对历史的认知。

Published around the 95th anniversary of the Sept 18, 1931 Mukden Incident and after Japan's 2026 Defense White Paper again named China its top strategic challenge.

military.china.com (citing People's Daily)

商务部 · MOFCOM · EU REQUEST TO LIMIT CHINESE HYBRID VEHICLE EXPORTS

FIRM · TO EU

MOFCOM spokesperson ¹ · Ministry of Commerce spokesperson

“Per Reuters: China will monitor the EU's moves on Chinese hybrid cars and opposes any 'voluntary limit' on its exports.”

Reports emerged that Brussels wants Beijing to voluntarily cap Chinese hybrid vehicle exports to the EU market.

Reuters

VOA CHINESE · SEPT 18, 2026

Lai Ching-te · President of Taiwan

“This three-day live-fire mission had participating units execute joint air defense, counterstrike operations, sea-air coordination, coastal strikes, and near-shore defense tasks in accordance with the Taiwan-Penghu defense operational plan; as of today, all mission objectives have been successfully achieved.”

Lai made the remarks visiting a missile base in Pingtung during a tri-service joint precision missile exercise on Sept 18.

source

CHINA TIMES · SEPT 18, 2026

Shen You-chung · MAC Deputy Minister

“So-called 'co-managing China' does not mean managing the mainland's internal economic and social affairs, but refers to 'risk co-management', preventing mainland China from using force to change the cross-strait status quo.”

Shen was responding to Foreign Minister Lin Chia-lung's earlier remark on 'US-Taiwan co-management of China.'

source

DIPLOMACY

REUTERS

More Chinese films at TIFF as Canada-China ties warm

Six mainland/Hong Kong films screened at TIFF this year, double last year's total, amid warming Canada-China relations.

SCMP

Reporter's notebook: Kazakhstan trip shows limits of Central Asia ties

An SCMP reporter's Astana trip, requiring a Guangzhou transfer, illustrates thin direct China-Kazakhstan flight links despite deepening ties.

FREEDOM HOUSE

Freedom House flags Beijing transnational speech pressure ahead of Xi visit

Freedom House published guidance on countering Beijing's efforts to suppress free speech abroad timed to Xi's Washington visit.

TECHNOLOGY

NIKKEI ASIA

China rebuffs AI slowdown calls ahead of Trump-Xi summit

Beijing dismissed Anthropic CEO Dario Amodei's calls to slow AI development, Nikkei reports, ahead of the Trump-Xi summit.

NIKKEI ASIA

US chip toolmaker Forge Nano bets on Taiwan for production

Forge Nano's CEO says Taiwan will be a major production hub for its next-generation chipmaking machinery.

PRC-ECONOMY

SCMP

Hong Kong to open waters to Guangdong yachts from October

A southbound scheme letting Guangdong-registered yachts sail Hong Kong waters is set to launch in October, the transport minister said.

CROSS-STRAIT

TAIPEI TIMES

Taiwan hosts delegates for global disaster alliance launch

Taiwan's foreign and interior ministers hosted delegates ahead of the World Alliance for Disaster Management's launch, built on Lai's Indo-Pacific training-hub vision.

VOA CHINESE

Taiwan, arms sales seen as flashpoints at Trump-Xi summit

VOA Chinese reports Taiwan policy and arms sales will likely draw scrutiny when Trump and Xi meet Sept 24.

● UPCOMING

Sep
21

RoboTechnik's \$800M Hong Kong listing launches

Sources told Reuters the Chinese robotics firm's IPO opens Sept 21, part of a wave of Hong Kong listings ahead of the Xi visit.

Sep
22

UN General Assembly high-level week opens, New York

Japan's PM Sanae Takaichi is seeking a Trump meeting around Sept 22, ahead of the Trump-Xi summit.

Sep
24

Xi Jinping state visit to Washington

First Chinese leader visit to the US since 2015; itinerary includes a White House welcome, state dinner and private tea, per senior US officials.

Oct
1

PRC National Day, 77th anniversary

Oct
10

Taiwan Double Ten National Day

A Japanese lawmaker plans to bring roughly 50 colleagues to Taipei for the occasion, per Taiwan News.

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Washington, D.C.

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generated 7:14 AM ET

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